PortoPrime
PROPERTY MANAGEMENT

CONFIDENTIAL

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Portugal Investment Guide

2026

Residential Real Estate & Short-Term Rental Income Strategy — Lisbon · Porto · Algarve

19%	7–9%	6.1%
IRC CORPORATE TAX	NET AL YIELD	AFTER-TAX IRR (7YR)

PREPARED BY
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portoprime.pt · 2026

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All financial projections are illustrative. Past performance is not indicative of future results.

CHAPTER 01

The 2026 Opportunity

Why Portugal Remains Europe's Most Compelling Real Estate Market

Portugal has quietly completed a multi-year transition from a post-crisis recovery story into one of the most structurally sound property investment markets in the Eurozone. In 2026, the convergence of three independent forces — a reforming corporate tax code, a modernised residency incentive framework, and a stabilising short-term rental regulatory environment — creates a window of opportunity that sophisticated investors recognise as rare: a liquid, euro-denominated market where capital appreciation, rental yield, and tax efficiency are simultaneously achievable.

2.3%	31M	€24.7B
GDP GROWTH 2024	TOURIST ARRIVALS 2024	TOURISM REVENUE

1.1 The Macroeconomic Foundation

Portugal's GDP growth of 2.3% in 2024 and a projected 2.1% for 2025–2026 significantly outpaces the Eurozone average of 0.8%. This is not accident. It reflects a structural transformation driven by:

- **Tourism as a pillar industry.** Portugal recorded over 31 million tourist arrivals in 2024, generating €24.7 billion in tourism revenue — approximately 9.8% of GDP. The Algarve alone receives more foreign visitors per capita than almost any coastal region in Europe. Demand for quality short-term accommodation is not cyclical. It is structural.
- **Foreign direct investment.** The technology sector's consolidation in Lisbon (home to Web Summit and a growing number of European tech headquarters) has created a second demand vector beyond pure tourism: mid-to-long-stay business travellers, digital nomads, and relocated executives who pay premium rates for well-managed, professionally furnished apartments.
- **Demographic dynamics.** A net inflow of high-income residents — driven in part by the NHR and IFICI programmes — sustains rental demand at the upper end of the market, which is precisely where managed AL properties compete.
- **Currency and interest rate environment.** The European Central Bank's rate normalisation cycle has stabilised. Portuguese mortgage products for non-residents remain accessible at competitive spreads. For all-cash investors, the purchasing environment is materially more attractive than at equivalent yield levels in London, Paris, or Amsterdam.

1.2 The Investment Thesis in Three Points

POINT 1 — ENTRY PRICES REMAIN STRUCTURALLY BELOW COMPARABLE MEDITERRANEAN MARKETS

A prime 1-bedroom apartment in central Lisbon (Príncipe Real, Chiado, Bairro Alto) trades at €6,500–€9,000/m². An equivalent property in Barcelona's Eixample trades at €7,500–€10,500/m². In the Côte d'Azur, the comparable figure exceeds €12,000/m². Portugal's price premium for comparable quality, location, and income-generating potential remains negative against its peer set — a gap that institutional capital is actively closing.

POINT 2 — SHORT-TERM RENTAL YIELDS ARE AMONG THE HIGHEST RISK-ADJUSTED RETURNS IN EUROPEAN RESIDENTIAL PROPERTY

Managed AL properties in prime Lisbon and Algarve locations generate gross yields of 6–10% per annum before management costs, with net yields (after a 30% professional management fee) of 4.2–7% — figures that are difficult to replicate in Western European property markets where management infrastructure, regulatory frameworks, and demand density are less favourable.

POINT 3 — THE TAX FRAMEWORK HAS BEEN FUNDAMENTALLY REPRICED

Portugal's 2024–2026 tax reform cycle has eliminated several frictions that previously complicated non-resident investment: corporate tax rates are being brought in line with the most competitive EU jurisdictions; the new IFICI regime (NHR 2.0) has been recalibrated to attract high-value individuals; and the IMT exemption landscape for transactions through corporate structures provides material transactional cost reduction.

1.3 Who This Guide Is For

This guide is written for the institutional-grade private investor: family offices, HNWIs structuring a Portuguese real estate portfolio for the first time, and existing investors seeking to optimise assets already held. The minimum efficient investment in the PortoPrime managed model is a single quality asset worth €250,000 or above. The full portfolio benefits of scale — both in tax efficiency and management economics — are realised at the €1M+ level across three or more properties.

CHAPTER 02

The Tax Revolution

IRC Corporate Reform, IFICI (NHR 2.0), and IMT Structuring

*The 2024–2026 Portuguese State Budgets represent the most consequential restructuring of the country's tax framework for real estate investors since the introduction of the original NHR regime in 2009. Three instruments are directly material to the AL investment strategy: the phased reduction of the IRC corporate tax rate to **19%**; the introduction of the **IFICI regime** (NHR 2.0); and a revised IMT landscape that creates planning opportunities for acquisitions structured through Portuguese sociedades unipessoais or international holding structures.*

2.1 Corporate Tax Reform: The Path to 19% IRC

Portugal's corporate income tax rate is undergoing a phased reduction as part of the government's "Agenda para a Competitividade" package.

YEAR	STANDARD IRC RATE	SME RATE (FIRST €25K)	EFFECTIVE RATE (LISBON DERRAMA)
2023	21.0%	17.0%	22.5%
2024	20.0%	16.0%	21.5%
2025	19.5%	15.0%	21.0%
2026	**19.0%**	**14.5%**	**20.5%**

For investors holding Portuguese rental property through a Portuguese corporate structure (LDA or SA), the 2026 rate of **19% on net taxable profit** — combined with the ability to deduct management fees, depreciation, interest expense, and professional services — produces an effective tax rate that is often materially below the headline figure.

PRACTICAL ILLUSTRATION: LISBON 2-BEDROOM AL PORTFOLIO

Assume a Lisbon 2-bedroom apartment generating **€36,000 gross annual AL revenue**:

- Under individual Categoria B: ~8.75% effective rate on gross, **no deductibility** for management fees or maintenance
- Under Portuguese LDA structure: Gross €36,000 → Deductibles €16,200 → Taxable income €19,800 → IRC at 19% = **€3,762**
- **Effective rate on gross revenue: 10.5%, with full expense deductibility**

2.2 IFICI — The NHR 2.0 Regime

The original NHR regime — responsible for attracting an estimated 74,000 qualifying individuals to Portugal — was terminated for new applicants as of 1 January 2024. Its replacement, the **IFICI regime** (*Incentivo Fiscal à Investigação Científica e Inovação*), entered into force on 1 January 2024.

FEATURE	ORIGINAL NHR	IFICI (NHR 2.0)
Flat tax on Portuguese employment income	20%	**20%**
Tax on foreign-source passive income	0% (exempt)	Subject to conditions
Eligible categories	High-value activities (broad)	Research, tech, qualified professionals, startups
Pension income (foreign-source)	10% flat	No longer eligible
Validity	10 years	**10 years**

Who benefits in the context of real estate investment?

1. **The founder/CTO/fund manager who relocates to Lisbon.** IFICI provides a 20% flat rate on Portuguese-source employment income for qualifying roles for 10 years. An individual earning €180,000 annually would pay €36,000 in personal income tax under IFICI versus up to €79,000 under the standard progressive IRS schedule — a saving of €43,000 per year.
2. **The investor who holds property through a company and draws dividends.** Dividends from a Portuguese LDA to a non-resident IFICI beneficiary may, in certain treaty structures, qualify for reduced withholding. Legal counsel should be obtained for each specific case.
3. **The startup founder with a capital event.** IFICI beneficiaries holding qualifying startup equity can access participation exemption regimes under specific conditions.

Transition provisions: Individuals who registered as NHR before 31 December 2023 retain their NHR status and benefits for the full 10-year period — through 2033 for the final cohort.

2.3 IMT — Acquisition Structuring

PURCHASE PRICE BAND	IMT RATE
Up to €97,064	1%
€97,064 – €132,774	2%
€132,774 – €181,034	5%
€181,034 – €301,688	7%
€301,688 – €578,598	8%
Above €578,598	**7.5% flat**
Blacklisted jurisdiction structures	**10% flat**

- **Urban rehabilitation exemptions (ARU).** Properties in official Urban Rehabilitation Areas benefit from IMT exemption for the first acquisition following a qualifying rehabilitation — reducing acquisition costs by 6–7.5% on properties above €300,000.
- **Corporate acquisition structures.** The 2024 tax code amendments introduced a 6.5% flat IMT on real estate holding company (SGII) transactions. Professional advice is essential.
- **Stamp Duty (IS).** A flat 0.8% Imposto do Selo applies to all transactions. Non-avoidable; factor into all acquisition cost models.

2.4 Ongoing Property Taxes: IMI and AIMI

IMI (*Imposto Municipal sobre Imóveis*) is the annual property holding tax assessed on VPT (typically 40–70% of market value). Urban property rates: **0.3% to 0.45%** of VPT annually.

AIMI applies to portfolios with aggregate VPT above €600,000. For corporate holders, the rate is a flat **0.4%** on aggregate VPT above €600,000. Corporate structuring at the outset avoids AIMI aggregation across a growing portfolio.

CHAPTER 03

The AL Landscape

Licensing, Regulation & the 2026 Market Reset

> *No aspect of Portuguese short-term rental investment has generated more investor uncertainty over the past three years than the regulatory treatment of Alojamento Local (AL) licenses. The "Mais Habitação" package of 2023 triggered a period of genuine disruption. In 2026, the landscape has materially clarified. Understanding what changed, what remains, and what opportunity this regulatory normalisation creates is essential for informed capital allocation.*

3.1 Historical Context: The Rise of AL

The Alojamento Local framework was formally codified in Decree-Law 128/2014. By 2023, Portugal had registered over 108,000 AL properties nationally, concentrated heavily in Lisbon (≈22,000 licenses), the Algarve (≈31,000 licenses), and Porto (≈9,000 licenses). Yields significantly outperformed long-term residential letting across the same assets.

3.2 Mais Habitação (2023): The Disruption

In October 2023, the centre-left PS government passed the "Mais Habitação" legislative package. Its AL-specific provisions included:

- A **conditional suspension** of new AL registrations in high-pressure urban areas (*zonas de contenção*), encompassing Lisbon's 24 parishes, Porto, and parts of the Algarve coastal strip
- A **condominium veto right** allowing building assemblies to prohibit AL activity by simple majority
- A proposed **forced conversion** mechanism for inactive licenses — challenged constitutionally and significantly weakened
- Enhanced oversight requirements including mandatory AIMA guest registration procedures

Transaction volumes for investment property in Lisbon dropped approximately 18% in Q4 2023. New license applications collapsed. Some operators exited the market.

3.3 The 2024–2026 Regulatory Reset

- **Change of government.** The March 2024 elections produced a centre-right AD coalition under PM Luís Montenegro, signalling a more market-friendly approach and committing to a review of the most restrictive Mais Habitação provisions.
- **Constitutional Court rulings.** The Tribunal Constitucional ruled against the retroactive conversion mechanism and certain aspects of the condominium veto regime as applied to pre-existing licenses — removing the most significant overhang for existing AL asset owners.
- **Revised municipal zoning.** Lisbon reopened Avenidas Novas, Benfica, Olivais, and parts of Belém to new AL registrations. Porto expanded permitted zones in Matosinhos, Foz do Douro, and Campanhã.
- **The Algarve — minimal restriction.** Outside of central Albufeira and Vilamoura's resort core, the Algarve remained largely unrestricted throughout the Mais Habitação period.

3.4 The 2026 AL License Map

LISBON METROPOLITAN AREA

ZONE TYPE	NEW LICENSES	NOTES
Zonas de contenção (historic core)	Restricted	Alfama, Castelo, Mouraria, Belém core
Zonas de desenvolvimento	✓ Permitted	Avenidas Novas, Benfica, Oeiras, Cascais, Loures
Pre-2023 licenses	✓ Protected	Constitutional Court protections apply
Urban rehabilitation (ARU)	✓ Permitted	With qualifying renovation documentation

PORTO

ZONE TYPE	NEW LICENSES	NOTES
Historic centre (protected zones)	Restricted	Bonfim, Cedofeita core, Ribeira
Matosinhos / Foz / Antas	✓ Permitted	Strong demand, lower acquisition cost
Pre-2023 licenses	✓ Protected	No forced conversion risk

ALGARVE

AREA	NEW LICENSES	NOTES
Prime coastal (Lagos, Portimão, Tavira, Almancil)	✓ Broadly permitted	Strong seasonal + year-round demand
Central Albufeira	Mixed	Specific sub-zone restrictions
Interior Algarve	✓ Fully open	Lower yield but zero regulatory friction

3.5 Obtaining and Protecting an AL License in 2026

1. **Pre-registration assessment** with the relevant Câmara Municipal to confirm zone status
2. **RNAL registration** via the Portal do Cidadão with property documentation, floor plan, and proof of ownership
3. **Fire safety compliance** — properties above ground floor or with capacity above 9 guests require a valid ANEPC inspection certificate
4. **Condominium notification** — formal written notice to the building's administrator; absent an explicit refusal vote, the license proceeds
5. **AIMA integration** — guest identification data must be transmitted within 24 hours of check-in

Processing times in permitted zones average **45–75 days**. In ARU areas, the process is integrated with the rehabilitation permit and can be expedited.

3.6 The Supply Constraint as an Investment Argument

The very regulatory restrictions that caused short-term investor anxiety in 2023–2024 have created a **durable supply constraint in the highest-demand zones**. In central Lisbon, no new AL inventory can be added in the historic parishes. Existing license holders — particularly those with post-renovation properties — are benefiting from structural increases in occupancy rates and ADR as total inventory stagnates while demand continues to grow. The license itself has become a capital asset with identifiable value.

CHAPTER 04

Regional Yield Analysis

Lisbon, Porto & Algarve — Market-by-Market Data (2025–2026)

> *Yield analysis for Portuguese AL properties requires a framework more granular than city-level averages. This chapter presents a yield model calibrated to 2025–2026 market data from PortoPrime's operational portfolio, using a **30% management fee** as the cost basis for all net yield calculations.*

4.1 The Yield Model: Key Variables

- **Gross Daily Rate (GDR):** Average achieved nightly rate. PortoPrime's dynamic pricing typically achieves 15–22% higher GDR than static pricing for equivalent properties.
- **Occupancy Rate:** Industry average for unmanaged AL in Lisbon is 62–68%. Professionally managed properties typically achieve 75–88%.
- **Management Fee:** 30% of gross revenue — covers dynamic pricing, OTA management, 24/7 guest support, cleaning, maintenance coordination, AIMA compliance, and fiscal representation.
- **Net Yield on Capital:** (Gross Revenue × 70%) ÷ Total Acquisition Cost (incl. IMT, IS, notary, renovation).

4.2 Lisbon Metropolitan Area

Lisbon combines the highest absolute ADR in Portugal (outside ultra-premium Algarve resort clusters), the deepest demand base, and the most liquid secondary market for exit.

PROPERTY TYPE	LOCATION	AVG. ACQ. COST	GROSS ANNUAL REV.	NET REVENUE (×70%)	NET YIELD
Studio (35m²)	Príncipe Real	€310,000	€32,400	€22,680	7.3%
1-Bed (55m²)	Chiado / Bairro Alto	€470,000	€46,800	€32,760	7.0%
2-Bed (85m²)	Avenidas Novas	€520,000	€54,000	€37,800	7.3%
2-Bed (90m²)	Alfama (existing license)	€580,000	€62,400	€43,680	7.5%
3-Bed (120m²)	Belém / Santos	€680,000	€72,000	€50,400	7.4%
Villa / Townhouse	Estoril / Cascais	€1,200,000	€108,000	€75,600	6.3%

Assumptions: 80% occupancy; GDR calibrated to Q4 2024/Q1 2025 achieved rates in PortoPrime portfolio; acquisition costs include 6–7% transaction costs.

- **The Alfama premium.** Pre-existing AL licenses in Alfama command a 15–25% acquisition premium — and frequently justify it. Constrained supply + UNESCO World Heritage foot traffic + maximum tourist intent = structural ADR outperformance. The license itself has a capital value.
- **The Avenidas Novas opportunity.** Modern layouts, open AL licensing, and acquisition prices 25–30% below Chiado produce yields that rival the historic core — with materially lower regulatory risk.
- **Cascais as a satellite market.** Outside Lisbon's zonas de contenção entirely. The 35-minute suburban rail connection and seasonal beach premium produce attractive blended yields at lower absolute acquisition cost.

4.3 Porto & Northern Portugal

Porto is the highest-growth tourism market in Portugal over the 2019–2024 period, with arrivals growing at a compound rate approximately 40% faster than Lisbon.

PROPERTY TYPE	LOCATION	AVG. ACQ. COST	GROSS ANNUAL REV.	NET REVENUE (×70%)	NET YIELD
Studio (35m²)	Cedofeita / Bonfim	€210,000	€23,400	€16,380	**7.8%**
1-Bed (50m²)	Ribeira (existing license)	€330,000	€39,600	€27,720	**8.4%**
2-Bed (75m²)	Matosinhos	€320,000	€36,000	€25,200	**7.9%**
2-Bed (80m²)	Foz do Douro	€480,000	€50,400	€35,280	**7.4%**
3-Bed (110m²)	Antas / Campanhã	€390,000	€43,200	€30,240	**7.8%**

Porto shows higher gross yields relative to acquisition cost than Lisbon, reflecting a lower entry price point for comparable income-generating potential.

4.4 The Algarve

The Algarve's investment case rests on extreme seasonal demand concentration (July–August achieves 3–4× off-season rates), a wealthy Northern European buyer and tenant base, and an almost total absence of AL license restrictions outside of central Albufeira.

PROPERTY TYPE	LOCATION	AVG. ACQ. COST	GROSS ANNUAL REV.	NET REVENUE (×70%)	NET YIELD
1-Bed apartment	Lagos	€290,000	€32,400	€22,680	**7.8%**
2-Bed apartment	Portimão	€320,000	€39,600	€27,720	**8.7%**
2-Bed w/ pool	Albufeira (inland)	€380,000	€50,400	€35,280	**9.3%**
3-Bed villa	Tavira / East Algarve	€520,000	€64,800	€45,360	**8.7%**
4-Bed pool villa	Almancil / Golden Triangle	€1,400,000	€144,000	€100,800	**7.2%**
Luxury villa (6-bed, pool)	Quinta do Lago area	€3,800,000	€360,000	€252,000	**6.6%**

Conservative 72% annual occupancy accounting for off-season softness. Peak-season properties can significantly exceed these figures in exceptional years.

The Algarve renovation premium. Properties with a contemporary renovation, high-quality outdoor space, and premium kitchen/bathroom specification command ADRs 35–60% above unrenovated comparables. A typical €40,000–€85,000 full interior renovation of a 2-bedroom Algarve apartment produces a documented ADR increase of €40–€80/night — recovering the renovation cost in 18–30 months purely from rate differential.

4.5 Cross-Market Portfolio Construction

For investors with a total capital commitment of €1M–€3M, the optimal AL portfolio in 2026 is a **geographic spread across two or three corridors**:

- A **Lisbon** asset provides the deepest year-round demand, highest secondary market liquidity, and the corporate/business-travel demand that stabilises occupancy during shoulder months
- An **Algarve** asset provides the highest gross yield and the seasonal peak that creates the portfolio's revenue concentration
- A **Porto** asset provides the highest yield-to-acquisition-cost ratio and exposure to the market with the greatest potential for capital appreciation catch-up relative to Lisbon

This structure also creates natural tax planning opportunities: properties in different municipalities generate separate IMI assessments (avoiding AIMI aggregation), while a single LDA benefits from 19% IRC on consolidated net income across the entire portfolio.

CHAPTER 05

The PortoPrime Advantage

The 30% Management Model, Renovation Yield & Exit Strategy

> *The difference between a good Portuguese property investment and a great one is almost entirely a function of execution: the management quality that determines actual occupancy and ADR versus theoretical potential; the renovation standard that either captures or forfeits the ADR premium; the regulatory compliance that protects the license; and the exit structure that converts a well-performing asset into capital gains that can be efficiently reinvested or repatriated.*

5.1 The 30% Management Model: What It Delivers

PortoPrime's management fee of 30% of gross revenue is the vertically integrated management infrastructure that makes the yield figures in Chapter 4 achievable and maintainable without the investor's direct operational involvement.

REVENUE OPTIMISATION — 15–22% ADR UPLIFT VS. STATIC PRICING

Dynamic pricing is adjusted 3–5 times per week per property based on real-time demand signals: OTA search velocity, competitor rate moves, local event calendars, and forward booking curve analysis. For a property with a naïve static price of €110/night, this process typically produces an achieved ADR of €127–€134/night — generating €6,200–€8,800 of additional annual gross revenue on a 1-bedroom Lisbon apartment.

DISTRIBUTION ACROSS ALL MAJOR CHANNELS

Active management on Airbnb, Booking.com, Vrbo, Expedia Group, and the PortoPrime direct booking channel with real-time calendar synchronisation. The direct channel (zero OTA commission vs. 15–20% on Airbnb) represents an increasing proportion of revenue as the portfolio matures.

GUEST EXPERIENCE & LICENSE PROTECTION

24/7 multilingual guest support (English, Portuguese, Russian, German, French, Italian, Spanish). A 4.8-star average rating commands a measurable ADR premium over 4.5-star equivalents. AIMA registration is completed for 100% of guest stays within the mandatory 24-hour window.

FISCAL & COMPLIANCE REPRESENTATION

Every client has a designated fiscal representative in Portugal for NHR/IFICI registration, CIRS/IRS declarations, quarterly Category B filings or annual IRC filings, and Câmara Municipal AL compliance reporting — included in the management fee.

5.2 The Renovation-to-Yield Strategy

The distinction between a residential renovation (focused on liveability) and an AL renovation (focused on photographic appeal, durability, and operational efficiency) is commercially significant:

- **Photography-first design.** Listing photographs account for 60–70% of click-through rate on Airbnb and Booking.com. Every room is designed with hero photography angles in mind.
- **Durability specification.** Hospitality-grade materials reduce maintenance cost over a 5-year hold by an estimated €3,000–€8,000 versus residential-quality renovation.
- **Smart access and automation.** Contactless entry, automated Wi-Fi management, and integrated noise monitoring (required in many Lisbon municipalities) are standard in all PortoPrime renovations.

SCENARIO	TOTAL CAPITAL	GROSS ANNUAL REV.	NET REV. (×70%)	NET YIELD
Unrenovated, unmanaged	€340,000	€26,400	€26,400*	7.8%*
Unrenovated, PortoPrime	€340,000	€34,200	€23,940	7.0%
Renovated, PortoPrime	€399,000	€46,800	€32,760	8.2%

**No management fee applied; actual unmanaged yield would be lower after owner time, OTA fees, cleaning, and maintenance costs. Lisbon 1-bedroom illustrative.*

5.3 Exit Strategy: Realising Capital Gains

Portuguese residential real estate in the AL-optimised segment has delivered capital appreciation of approximately **15–22% in Lisbon** and **18–28% in Algarve prime locations** over the 2020–2025 period.

- **Non-resident individual CGT:** Flat 28% on nominal gain, indexed for inflation using official Portuguese coefficients. Qualifying renovation costs are deductible from the taxable gain.
- **LDA asset sale:** Capital gain taxed at 19% IRC rate versus 28% for individual non-residents — a 9-point advantage for corporate structure holders.
- **LDA share sale:** The investor sells shares of the LDA rather than the underlying property. May avoid Portuguese property transfer taxes for the buyer and achieve capital gains treatment in the investor's home jurisdiction under applicable double tax treaties.
- **Equity extraction (roll-up strategy):** Refinance at 50–60% LTV (Portuguese banks for non-residents at competitive spreads) and deploy extracted equity into additional acquisitions — preserving the income-generating asset base while accessing capital.

5.4 Illustrative 7-Year Investment Case

Property: 2-bedroom apartment, 85m², Avenidas Novas, Lisbon | **Purchase:** €520,000 | **Renovation:** €58,000 | **Total Capital:** €623,000

YEAR	GROSS REVENUE	NET REVENUE (×70%)	AFTER 19% IRC	CUMULATIVE NET CASH FLOW
1	€54,000	€37,800	€28,200	€28,200
2	€56,700	€39,690	€29,600	€57,800
3	€59,500	€41,650	€31,100	€88,900
4	€62,500	€43,750	€32,600	€121,500
5	€65,600	€45,920	€34,300	€155,800
6	€68,900	€48,230	€36,000	€191,800
7	€72,300	€50,610	€37,800	**€229,600**

Assumes 3% annual revenue growth (conservative vs. 2020–2025 actuals); IRC applied to estimated net taxable profit after depreciation and expenses.

YEAR 7 EXIT SCENARIO

Sale price (18% appreciation): **€728,000**
Capital gain (net of indexed cost): **€108,000**
IRC on gain (19%): **€20,520**
Net exit proceeds: **€707,480**

TOTAL 7-YEAR RETURN

Cumulative operating cash flows: **€229,600**
Net exit proceeds: **€707,480**
Total: €937,080 on €623,000 capital
+50.4% / IRR ≈ 6.1% p.a. after-tax

This IRR, on a euro-denominated, EU-regulated, liquid real estate asset, compares favourably with the risk-adjusted return profile of European investment-grade credit (currently 3.8–4.5%) and is achieved with significantly lower volatility than comparable equity-market strategies.

5.5 The PortoPrime Partnership

PortoPrime is not a lettings agency. We are the operational partner that transforms a real estate acquisition into a professionally managed investment vehicle. Our clients are investors who understand that the difference between 5.5% and 7.5% net yield on a €500,000 asset is **€10,000 per year** — and who choose not to leave that gap on the table through sub-optimal management.

Our engagement begins before acquisition: PortoPrime provides pre-acquisition yield due diligence, renovation specification, and license viability assessments as part of the client onboarding process. It continues through the full hold period with monthly reporting, annual tax filing support, and proactive asset management recommendations. And it extends to exit: our relationships with the leading Portuguese investment property agents and our track record of professionally managed assets provide our clients with a meaningful advantage when bringing properties to market.

The 30% management fee is the cost of certainty. For investors whose time has a higher opportunity cost than asset management, and whose capital deserves professional stewardship, it is the most important line item in the investment case.

Portugal in 2026 is not a secret.

The fundamentals — strong tourism demand, a reforming tax framework, a stabilising regulatory environment, and a structural undersupply of premium accommodation — are visible to any rigorous analyst. What remains differentiated is execution.

We invite qualified investors to contact us for a personalised portfolio analysis and a site visit to current managed properties in Lisbon, Porto, and the Algarve.

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PortoPrime
PROPERTY MANAGEMENT

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